

Ten years ago, only three in hundred Indians had a phone. That number's up to 45 now. The next step is going from plain communications to applications.

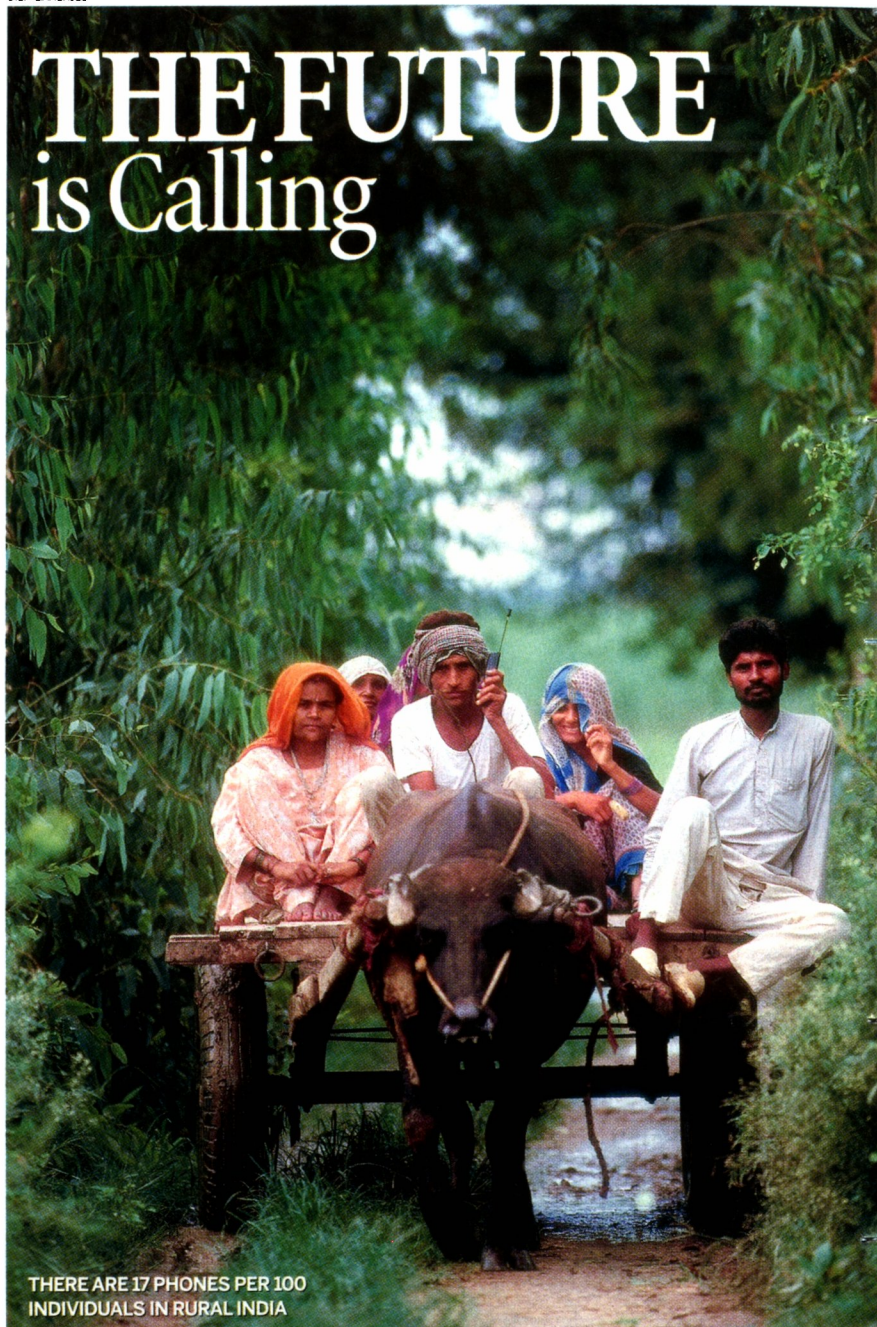
By Arvind Panagariya |

The spread of mobile telephones across the breadth and length of the nation is without doubt the biggest success story of the Indian economic reforms. No single event since Independence has transformed the lives of Indians as mobile phones have. Remarkably, the transformation has come about almost entirely within the last decade.

Just 10 years ago, the total number of mobile and fixed-line phones was less than three per 100 individuals. Mobile phones had been introduced in the mid-1990s and accounted for barely 6 per cent of all telephones. Today, the number of phones per 100 individuals has risen to an impressive 45. Much of this growth has been in mobile phones, which now account for a staggering 92 per cent of all phones. Fixed-line phones are now an endangered species. While the growth in phones has been concentrated in cities, rural areas have been fast catching up. There are now an astonishing 95 and 17 phones per 100 individuals in urban and rural India, respectively. Taking the 2001 Census figures of 5.2 and 5.4 members per household in urban and rural India, respectively, these figures translate into almost five phones per household in urban India and one phone each in nine out of ten households in rural India.

To be able to fully appreciate the revolution in mobile phones, we must look at the history of telecommunications in India. The telephone arrived early and doors to the first telephone exchanges located in Calcutta, Bombay and Madras, opened as early as January 1882—just six years after Alexander Graham Bell patented the first telephone. With 93 subscriber lines, the Calcutta Exchange

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A BLUFFER'S GUIDE

- With 488.4 million subscribers, the mobile system in India is the second largest in the world after China which has 729.5 million.
- The country is divided into multiple zones, or circles, for areas of operation. Tamil Nadu state is one circle and Chennai is a separate circle.
- Last year, 100.9 million mobile handsets were sold in India.
- Studies talk about the harm caused by long-term use of mobile phones, from brain tumour to decline in human fertility. But is anybody listening?